SOP No. **GM-PG08.E**

TO : **All Concerned**

SUBJECT : **Amendments to the SOP on Contracted Milling**

For the information, guidance, and compliance of all concerned, published hereunder is the Amendment to the SOP on Contracted Milling, specific to the exclusion/deletion of bond requirement pursuant to Memorandum AO-2024-08-044 dated 07 August 2024 addressed to all Acting Regional Managers and Branch Managers/OIC-Branch Managers, to wit:

Exclusion / Deletion of the following:

6. Bond Requirement

6.1. On or before the start of actual milling, the contractor shall be required to post a bond in any of the following forms: cash, treasury bills, bank guarantee, or surety bond callable upon demand and shall be secured only from GSIS. The amount of the bond shall be 100% of the book value of the 6-day grain input capacity of the contractor's mill on a 12-hour per day operation, including its containers (sacks containing the grains) and the commensurate number of empty sacks for milled recoveries plus 10% allowance. The bond shall be received by the NFA and properly documented. If cash bond is posted, it shall be deposited in a NFA account and shall not be used for any other purpose. (Refer to Annex B for illustration on how to compute the bond).

6.2. The bond shall answer for any of the following causes:

a. For losses, shortages and damages on stocks and sacks attributable to Contractor's fault or negligence in relation to his obligations under the provisions of the milling contract.

b. For additional expenses incurred due to the Contractor's failure to mill and/or deliver stocks without valid or justifiable cause.

c. For litigation expenses as attorney's fees and liquidated damages.

6.3. The bond shall not be released by NFA until such time that the contractor has been cleared by NFA management of its obligations as stipulated in the Milling Contract especially with reference to sanctions and penalties. The contractor shall be issued a Certificate of Clearance (Exhibit H) immediately upon liquidation by NFA management. However, the Contractor's stock and MTS accountabilities shall still be subject to final liquidation by COA.

6.4. In claiming for the bond (Cash, Treasury Bills), the contractor shall present the clearance and the O.R. (in case of cash bond) or other documents evidencing NFA's receipt of the same. Whatever earnings on the bond deposited in the bank shall not be given to the miller nor shall it be applied to any penalties to be collected from him.

Policies and procedures under the original SOP on Contracted Milling (numbered GM-PG08, issued July 16, 1992, made effective August 1, 1992) and its amendments not inconsistent with the above provisions shall still be enforced.

This amendment shall take effect on SEP 11 2024.

LARRY R. LACSON, Ph.D.
Acting Administrator